

IN THE COURT OF APPEAL (CIVIL DIVISION)

Case No: CA-2021-006069

BETWEEN:

SUNRISE HOSPITALITY GROUP LTD

Appellant

- and -

GRANT MORRISON & CO LLP

Respondent

RESPONDENT'S SKELETON ARGUMENT

A. INTRODUCTION

1. The Respondent denies negligence and contends that its due diligence was conducted competently, that any errors were not reasonably discoverable, and that the Appellant's losses resulted from post-acquisition business decisions.

B. RELEVANT FACTS

2. The due diligence was conducted in accordance with professional standards.
3. The fraud was sophisticated and designed to evade detection.
4. The Appellant had access to additional information that it chose not to investigate.
5. The Appellant's post-acquisition losses were caused by operational decisions, not the acquisition price.
6. The limitation period has expired for claims arising from the February 2021 report.

C. LEGAL FRAMEWORK

7. The relevant statutory provisions are:
- Limitation Act 1980
 - Civil Liability (Contribution) Act 1978

D. SUBMISSIONS

8. The scope of duty did not extend to detecting sophisticated fraud.
9. The Appellant is contributorily negligent for failing to conduct its own enquiries.
10. The losses claimed are too remote.

11. The claim is time-barred.

E. AUTHORITIES

12. The following authorities are relied upon:

- Barings Plc v Coopers & Lybrand [1997] 1 BCLC 427
- South Australia Asset Management Corp v York Montague Ltd [1997] AC 191
- Assetco Plc v Grant Thornton UK LLP [2020] EWCA Civ 1151

F. RELIEF SOUGHT

13. The Respondent respectfully requests that this Court:

- Dismiss the claim as time-barred
- Alternatively, dismiss on merits
- Costs

David Thompson KC

Sarah Roberts

21 February 2021

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